

Contractor vs Employee Decision Matrix

IRS Classification Framework

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Misclassifying workers can result in back taxes, penalties, and legal liability. Use this framework based on IRS guidelines to evaluate whether a worker should be classified as an independent contractor or employee.

Behavioral Control

Does the company control or have the right to control what the worker does and how they do it?

Instructions

Employee: Company provides detailed instructions on when, where, and how to work. | Contractor: Worker determines their own methods and schedule.

Training

Employee: Company provides training on procedures. | Contractor: Worker uses their own methods and expertise.

Evaluation

Employee: Evaluated on how work is done. | Contractor: Evaluated on end results only.

Financial Control

Does the company control the business and financial aspects of the worker's job?

Investment

Employee: Company provides tools and equipment. | Contractor: Worker invests in their own tools.

Expenses

Employee: Company reimburses expenses. | Contractor: Worker bears unreimbursed expenses.

Profit/Loss

Employee: Guaranteed regular wage. | Contractor: Can realize profit or loss.

Market Availability

Employee: Works exclusively for one company. | Contractor: Offers services to the open market.

Relationship Type

How do the worker and company perceive their relationship?

Written Contract

Does the contract describe the relationship? (Note: contract alone doesn't determine status)

Benefits

Employee: Receives benefits (health, retirement, PTO). | Contractor: No benefits provided.

Permanency

Employee: Ongoing, indefinite relationship. | Contractor: Defined project or time period.

Key Activity

Employee: Performs work central to the business. | Contractor: Provides specialized, supplemental services.

Quick Assessment Checklist

- ☐ Worker sets their own schedule !' Leans Contractor
- ☐ Worker uses their own equipment !' Leans Contractor
- ☐ Worker serves multiple clients !' Leans Contractor
- ☐ Company controls how work is performed !' Leans Employee
- ☐ Worker receives benefits !' Leans Employee
- ☐ Relationship is ongoing without defined end !' Leans Employee

Important: No single factor determines classification. The IRS looks at the total relationship.
When in doubt, consult a tax professional or file IRS Form SS-8 for a determination.

Ready to Get Started?

Schedule a free discovery call at blueprintsandbookkeeping.com/schedule or email tea@blueprintsandbookkeeping.com

